

34 Insolvency and closure

1 primary questions | Oldest to newest

2026 objectives: 5.3.3

2 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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CP1-P1 | April 2023 | Q5

10 marks

CP1-P1 | April 2023 | Q5

Current topic | 10 marks total | Original PDF p3

Related: Ch 30.

- 5** Company A has purchased Company B. The purchase included the defined benefit pension and death benefit scheme Company B provides for its employees.

Company B's scheme has remained open to new employees of Company B and to the future accrual of benefits.

One year after the purchase, Company A has become concerned about the costs from Company B's scheme. Company A is now considering possible ways of reducing the costs from Company B's scheme.

- (i) Suggest possible actions Company A could take to reduce the costs from Company B's scheme. [3]
- (ii) Outline the factors that would need to be considered by Company A if it:
 - (a) decided to close Company B's scheme.
 - (b) fully removed the scheme's liabilities from Company A's balance sheet.

[7]

[Total 10]